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Case Number: 25STCV34810 Hearing Date: August 14, 2026 Dept: 734

Plaintiffs

allege that Defendants failed to disclose to Plaintiffs when selling the subject property to Plaintiff that the subject property encroaches upon a city easement. After Plaintiffs purchased the subject property, the city declared thee encroachment to be a public nuisance. Plaintiffs are arbitrating the dispute with Defendant Sellers, Victor and Susan Malzoni.

Defendant

Susan Malzoni was named in the Complaint as a necessary party defendant. Malzoni filed a Cross-Complaint against the real estate broker/agent Defendants Compass California III, Inc., Chris Cortazzo, Matt Isbell, Kelli Isbell, Hilton & Hyland Real Estate, Inc. and Laura Kalb.

Defendant filed a Cross-Complaint against all parties.

Defendants Hilton & Hyland Real Estate, Inc. and Laura Kalb filed an application for determination of good faith settlement with Plaintiffs.

Defendant Compass California III, Inc. erroneously sued as Compass Real Estate, Chris Cortazzo, Matt Isbell, and Kelli Isbell move for a determination of good faith settlement with Plaintiffs.

Plaintiffs Sarah Schwarzbeck and Charles D. Manzo move to compel arbitration as against Defendant Susan Malzoni.

TENTATIVE
RULING

Defendants Hilton & Hyland Real Estate, Inc. and Laura Kalb's application for determination of good faith settlement is DENIED.

Defendant

Compass California III, Inc., Chris Cortazzo, Matt Isbell, and Kelli Isbell's motion for a determination of good faith settlement is GRANTED.

Plaintiffs Sarah Schwarzbeck and Charles

D. Manzo's motion to compel arbitration as against Defendant Malzoni is GRANTED.

This action is ordered stayed pending arbitration. (Code Civ. Proc. § 1281.4.)

ANALYSIS

Defendant Compass California III, Inc.

erroneously sued as Compass Real Estate, Chris Cortazzo, Matt Isbell, and Kelli Isbell move for a determination of good faith settlement with Plaintiffs.

Defendants Hilton &

Hyland Real Estate, Inc. and Laura Kalb Application For Determination of Good Faith Settlement

Defendants Hilton & Hyland Real Estate, Inc. and Laura Kalb filed an application for determination of good faith settlement with Plaintiffs. The Court continued the hearing for supplemental briefing.

CCP § 877.6(a)(1) provides:

Any party to an action in

which it is alleged that two or more parties are joint tortfeasors or co-obligors on a contract debt shall be entitled to a hearing on the issue of the good faith of a settlement entered into by the plaintiff or other claimant and one or more alleged tortfeasors or co-obligors, upon giving notice in the manner provided in subdivision (b) of Section 1005. . . .

(Code Civ.

Proc., § 877.6(a)(1).)

At a minimum, a party seeking

confirmation of a settlement must explain to the court and to all other parties:

who has settled with whom, the dollar amount of each settlement, if any settlement is allocated, how it is allocated between issues and/or parties, what nonmonetary consideration has been included, and how the parties to the settlement value the nonmonetary consideration.

(Alcal

Roofing & Insulation v. Superior Court (1992) 8 Cal.App.4th 1121, 1129.)

The party asserting the lack of good faith has the burden of proof on that issue. (Code Civ. Proc., § 877.6(d).) The Supreme Court has set forth several factors to consider when determining the good faith nature of a settlement: 1) rough approximate of plaintiff's total recovery, 2) the settlor's proportionate liability, 3) amount paid in settlement, 4) allocation of settlement proceeds among the plaintiffs, 4) recognition that a settler should pay less in settlement than he would if he were found liable after trial, 5) financial condition and insurance policy limits of the settling defendants, 6) the existence of collusion, fraud, or tortious conduct aimed to injury the interests of non-settling defendants. (Tech-Bilt, Inc. v. Woodward-Clyde & Associates (1985) 38 Cal.3d 488, 499.) In assessing the good faith of any settlement, the trial court must properly consider whether the proposed settlement was within the reasonable range of the settling tortfeasor's total liability, taking into account the settling tortfeasor's potential liability for indemnity. (Far West Financial Corp. v. D&S Co. (1988) 46 Cal.3d 796, 814-815 [bold emphasis added].)

In the Supplemental Brief filed by Defendants

Hilton & Hyland Real Estate, Inc. and Laura Kalb on July 2, 2026, Defendants cite Civil Code § 1102.4(a).

(a) Neither the seller nor any seller's agent or buyer's agent shall be liable for any error, inaccuracy, or omission of any information delivered pursuant to this article if the error, inaccuracy, or omission was not within the personal knowledge of the seller or that listing or buyer's agent, was based on information timely provided by public agencies or by other persons providing information as specified in subdivision (c) that is required to be disclosed pursuant to this article, and ordinary care was exercised in obtaining and transmitting it.

(b) The delivery of any information required to be disclosed by this article to a prospective buyer by a public agency or other person providing information required to be disclosed pursuant to this article shall be deemed to comply with the requirements of this article and shall relieve the seller or any

listing or buyer's agent of any further duty under this article with respect to that item of information.

(c) The delivery of a report or opinion prepared by a licensed engineer, land surveyor, geologist, structural pest control operator, contractor, a C-39 roofing contractor conducting a roof inspection pursuant to subdivision (d) of Section 7197 of the Business and Professions Code, or other expert, dealing with matters within the scope of the professional's license or expertise, shall be sufficient compliance for application of the exemption provided by subdivision (a) if the information is provided to the prospective buyer pursuant to a request therefor, whether written or oral. In responding to such a request, an expert may indicate, in writing, an understanding that the information provided will be used in fulfilling the requirements of Section 1102.6 and, if so, shall indicate the required disclosures, or parts thereof, to which the information being furnished is applicable. Where such a statement is furnished, the expert shall not be responsible for any items of information or parts thereof, other than those expressly set forth in the statement.

(Civ. Code § 1102.4 [bold emphasis and underlining added].)

Here, Defendants

have not adequately addressed the theory set forth in Malzoni's Cross-Complaint which alleges that Cross-Defendant Laura Kalb of Hilton & Hyland Real Estate, Inc. was responsible for preparing the disclosure documents:

11. In approximately 2017, Malzoni and her late husband acquired the property known as

3539 Canon Drive, Topanga, CA 90290 ("Subject Property") through a short-sale transaction negotiated with a foreclosing lender.

12. During Malzoni's ownership, she resided outside California and did not personally inspect or occupy the Subject Property.

13. In or about 2020, Malzoni retained Cross-Defendants H&H and Laura Kalb to list and market the Subject Property for sale.

14. Cross-Defendant Laura Kalb closely helped Malzoni in preparing disclosure documents and advising her regarding disclosure obligations.

15. Cross-Defendant Laura Kalb prepared or substantially assisted in preparing disclosure documents, including the Transfer Disclosure Statement and Seller Property Questionnaire, and transmitted those documents to Malzoni for her to sign.

16. During the listing and escrow periods, including during electronic transmission of disclosure documents for signature and related communications, Cross-Defendant Laura Kalb represented to Malzoni that the disclosure documents were complete and complied with applicable California disclosure requirements.

17. Malzoni at the advice of Cross-Defendant Laura Kalb, signed the disclosure documents in reliance on those representations.

18. Prior transactional disclosure documents and municipal or public records existed concerning improvements and regulatory matters affecting the Subject Property. Such records were available through ordinary real estate due-diligence procedures.

19. Cross-Defendant Laura Kalb obtained or reviewed municipal or public records relating to the Subject Property but did not provide Malzoni with the contents of those records or incorporate the information into disclosure documents.

(Malzoni Cross-Complaint,
¶¶ 11 – 19 [bold emphasis added].)

In this regard, the Complaint alleges that the prior disclosure forms whereby the Malzonis purchased the subject property from the prior owners, the Gassers, disclosed encroachments on city street easements:

14.
The Malzonis represented in their disclosures that they were unaware of any “easements, encroachments or boundary disputes affecting the Property.” At no time during the process did anyone disclose to Buyers that there was any issue related to the Subject Property encroaching onto Canon Drive.

15.

The Malzonis were explicitly notified of the issues with the Subject Property when they purchased it in 2017 from Lisa and Kevin Gasser. The Gassers provided the Malzonis with the standard disclosure forms in connection with the sale, and answered “Yes” to whether there were “encroachments, easements or similar matters that may affect your interest in the subject property.” The Gassers elaborated that they had met with the City of Calabasas and the City told them that structures on the Subject Property “encroach on city street easement.” Susan Malzoni (“Malzoni”) confirmed she received these disclosures by signing the document. The Malzonis disclosures to Buyers omitted this information.

(Schwarzbeck Complaint, ¶¶ 14, 15 [bold emphasis and underlining added].)

Thus, while Malzoni is deemed to have knowledge of the encroachments, Malzoni also claims that Cross-Defendant Kalb of Hilton & Highland was negligent in preparing the disclosure form by omitting such information:

50.

Here, knowing that Malzoni and her husband never occupied the Subject Property and that the previous sale was only three years ago, at the very least the Cross-Defendants mentioned herein should have reviewed the previous seller's disclosures that Plaintiffs are basing their entire action against the Malzonis upon. Cross-Defendants, fell below the standard of care of reasonable real estate brokers and agents by failing to ensure the disclosures to Plaintiffs included the same information that was disclosed by Lisa and Kevin Gasser who sold the Subject Property to Malzoni and her late husband.

51.

Cross-Defendants H&H, Compass, Laura Kalb, Chris Cortazzo, and the Isbells breached their duties by failing to investigate available records, failing to communicate material information, and preparing or transmitting incomplete disclosure documents to Malzoni.

(Malzoni Cross-Complaint, ¶ 50 [bold emphasis and underlining added].)

The Complaint alleges negligence against Defendants Hilton & Hyland and Kalb:

28.

Hilton & Hyland, Kalb and Cortazzo acted as real estate agents for the sellers of the Subject Property.

29.

Hilton & Hyland, Kalb and Cortazzo had a duty to disclose to Buyers all facts known to them regarding the Subject Property that materially affect the value or desirability of the property.

30.

Hilton & Hyland, Kalb and Cortazzo breached this duty by failing to disclose that the Subject Property encroached on Canon Drive.

(Complaint, ¶¶ 28 – 30.)

Based on this alleged negligence, Civ.

Code § 1102.4(a) does not immunize Cross-Defendants

Kalb and Hilton & Highland from liability for negligence in “obtaining and transmitting” the information. In this regard, Kalb and Hilton & Highland potentially have equal liability to Plaintiffs as does Malzoni for the failure to disclose the encroachment.

Another key factor

is the settling tortfeasor’s potential liability for indemnity to joint tortfeasors.

(Citation omitted.) The trial court calculates “the culpability of the [settling] tortfeasor vis-à-vis other parties alleged to be responsible for the same injury.

Potential liability for indemnity to a nonsettling

defendant is an important consideration for the trial court in determining whether to approve a settlement by an alleged tortfeasor. [Citation.]” (Citation omitted.)

(Long Beach Memorial

Medical Center v. Superior Court (2009) 172 Cal.App.4th 865, 873 [bold emphasis added].)

In assessing the good faith of any settlement,

the trial court must properly consider whether the proposed settlement was within the reasonable range of the settling tortfeasor’s total liability, taking into account the settling tortfeasor’s potential liability for indemnity. (Far West Financial Corp. v. D&S Co. (1988) 46 Cal. 3d 796, 814-815.)

The Complaint seeks at least \$2 million

in damages. (Complaint, Prayer ¶ A.) Defendants

Hilton & Hyland Real Estate, Inc. and Kalb have settled for \$20,000. This represents 1% of the potential total damages sought by Plaintiffs. The Court finds that this is not within the reasonable range of Hilton & Hyland Real Estate and Kalb's total liability, taking into account their potential liability for indemnity to Malzoni. Moreover, these settling Defendants do not disclose their insurance policy limits, brushing such information off as irrelevant. However, financial condition and insurance policy limits of the settling defendants is one of the factors enumerated in *Tech-Bilt, Inc. v. Woodward-Clyde & Associates* (1985) 38 Cal.3d 488, 499.

In light of the foregoing, Defendants Hilton & Hyland Real Estate, Inc. and Laura Kalb's application for determination of good faith settlement is DENIED.

Defendant Compass California III, Inc. erroneously sued as Compass Real Estate, Chris Cortazzo, Matt Isbell, and Kelli Isbell Motion For Determination of Good Faith Settlement

Defendant Compass California III, Inc. erroneously sued as Compass Real Estate, Chris Cortazzo, Matt Isbell, and Kelli Isbell move for a determination of good faith settlement with Plaintiffs. The Court continued the hearing for supplemental briefing.

The Court incorporates by reference its discussion above re: the application of Defendants Hilton & Hyland Real Estate, Inc. and Laura Kalb. The notable difference here is as follows

The Complaint alleges that Compass and the Isbell Defendants represented Plaintiff Buyers:

13.

Buyers were represented in the transaction by Matt Isbell and Kelli Isbell of Compass Real Estate ("Compass"). The Malzonis were represented by Laura Kalb of Hilton & Hyland Real Estate, Inc. ("Hilton & Hyland"). Chris Cortazzo of Compass also represented the Malzonis. Compass, Hilton & Hyland, the Isbells, Kalb and Cortazzo are referred to collectively herein as the "Broker Defendants."

(Complaint, ¶ 13.)

The Cross-Complaint filed by Compass California III, Inc., Matt Isbell, Kelli Isbell and Chris Cortazzo alleges as follows:

2.

Mr. Cortazzo, an individual, is a real estate agent licensed with the State of California and employed by Compass. He was a co-listing agent, along with Co-Defendants HILTON & HYLAND REAL ESTATE, INC. and LAURA KALB (collectively “Hilton”), representing Seller in the subject transaction.

(Cross-Complaint, ¶ 2.)

Although Cortazzo is identified as a co-listing agent, Malzoni alleges in her Cross-Complaint:

20.

Prior to and during the listing, Cross-Defendant Chris Cortazzo maintained a personal friendship with Malzoni.

21.

Cross-Defendant Chris Cortazzo requested to be added as a dual agent alongside Cross-Defendants Laura Kalb and H&H so that he could receive a portion of the commission generated by the sale. Cross-Defendant Compass was the brokerage for Malzoni in addition to H&H. Compass therefore acted as a dual agent because Compass agents, Cross-Defendants Matt and Kelli Isbell (the “Isbells”), represented Plaintiffs. Compass was acting as a broker for both Plaintiffs and Malzoni.

(Cross-Complaint, ¶¶
20, 21.)

In this regard, Cortazzo’s (and thus Compass’s) involvement in the transaction as agent for the Malzoni sellers appears to be peripheral—Cortazzo is not alleged to have been negligently involved in the preparation of the seller’s disclosures to Plaintiffs. He appears to have been added as a listing agent as a personal favor extended by Malzoni.

In this regard, Cortazzo and thus Compass would be immune from liability for the inaccurate or omitted information in the seller’s disclosure because Cortazzo and Compass were not negligent in obtaining or transmitting the information. (Civ. Code § 1102.4(a).) As discussed above re: Defendants Hilton & Hyland Real Estate, Inc. and Laura Kalb’s application, it was Kalb and Hilton & Hyland who were negligent in that regard.

In making the required disclosures, the sellers’ agent is required

only to act in good faith and not convey the seller's representations without a reasonable basis for believing them to be true. Accordingly, we conclude the trial court correctly struck the expert witness's testimony and refused jury instructions expanding the duty of a seller's agent to the buyer beyond that set forth in section 2079.

(Robinson v. Grossman (1997)

57 Cal.App.4th 634, 644 [bold emphasis and underlining added].)

As for Defendants Compass and the Isbell

Defendants' liability as agent for the buyer's, these Defendants cite in their supplemental brief Civil Code § 2079.3 and

Robinson v. Grossman (1997) 57 Cal.App.4th 634, 643.

Civil Code § 2079.3 provides:

The inspection to be performed pursuant to this article does not include or involve an inspection of areas that are reasonably and normally inaccessible to this type of an inspection, nor an affirmative inspection of areas off the site of the subject property or public records or permits concerning the title or use of the property, and, if the property comprises a unit in a planned development as defined in Section 11003 of the Business and Professions Code, a condominium as defined in Section 783, or a stock cooperative as defined in Section 11003.2 of the Business and Professions Code, does not include an inspection of more than the unit offered for sale, if the seller or the broker complies with the provisions of Sections 4525 to 4580, inclusive.

(Civ. Code § 2079.3 [bold emphasis added].)

Civil

Code § 2079 provides:

(a) It is the duty of a real estate broker or salesperson, licensed under Division 4 (commencing with Section 10000) of the Business and Professions Code, to a prospective buyer of residential real property improved with one to four dwelling units or a manufactured home as defined in Section 18007 of the Health and Safety Code, to conduct a reasonably competent and diligent visual inspection of the property offered for sale and to disclose to that prospective

buyer all facts materially affecting the value or desirability of the property that an investigation would reveal, if that broker has a written contract with the seller to find or obtain a buyer or is a broker who acts in cooperation with that broker to find and obtain a buyer.

(Civ. Code § 2079(a)[bold emphasis added].)

In this regard, the potential for the Compass Defendants' liability for indemnity to Malzoni is low. (Far West Financial Corp. v. D&S Co. (1988) 46 Cal. 3d 796, 814-815.) The Court finds that the \$15,000 agreed to pay under the Settlement Agreement falls within the "ballpark" of Compass' potential liability at trial for the alleged non-disclosure. (Tech-Bilt, Supra at 498-50). The Court finds that the other Tech-Bilt factors either favor a finding of good faith settlement or do not weight against such a finding.

As such, Defendant Compass California III, Inc., Chris Cortazzo, Matt Isbell, and Kelli Isbell's motion for a determination of good faith settlement is GRANTED.

Plaintiffs Sarah Schwarzbeck and Charles D. Manzo's Motion To Compel Arbitration as against Defendant Susan Malzoni.

Plaintiffs Sarah Schwarzbeck and Charles D. Manzo move to compel arbitration as against Defendant Susan Malzoni.

Existence
of Agreement To Arbitrate

Under California law, arbitration agreements are valid, irrevocable, and enforceable, save upon such grounds as exist at law or in equity for the revocation of any contract. (Blake v. Ecker (2001) 93 Cal.App.4th 728, 741 overruled on other grounds by Le Francois v. Goel (2005) 35 Cal.4th 1094.) A party petitioning to compel arbitration has the burden of establishing the existence of a valid agreement to arbitrate and the party opposing the petition has the burden of proving, by a preponderance of the evidence, any fact necessary to its defense. (Banner Entertainment, Inc. v. Superior Court (1998) 62 Cal.App.4th 348, 356-57.)

¶ 22B of the Purchase Agreement provides:

ARBITRATION

OF DISPUTES: The Parties agree that any dispute or claim in Law or equity arising between them out of this Agreement or any resulting transaction, which is not settled through mediation, shall be decided by neutral, binding arbitration. The Parties also agree to arbitrate any disputes or claims with Broker(s), who, in writing, agree to such arbitration prior to, or within a reasonable time after, the dispute or claim is presented to the Broker. The arbitrator shall be a retired judge or justice, or an attorney with at least 5 years of residential real estate Law experience, unless the parties mutually agree to a different arbitrator. The Parties shall have the right to discovery in accordance with Code of Civil Procedure §1283.05. In all other respects, the arbitration shall be conducted in accordance with Title 9 of Part 3 of the Code of Civil Procedure. Judgment upon the award of the arbitrator(s) may be entered into any court having jurisdiction. Enforcement of this agreement to arbitrate shall be governed by the Federal Arbitration Act. Exclusions from this arbitration agreement are specified in paragraph 22C.

(Johnson Decl. Ex. A, at ¶ 22B [bold emphasis added].)

Defendant Susan Malzoni does not deny that she signed the Agreement containing the above arbitration provision. Thus, Plaintiffs Sarah Schwarzbeck and Charles D. Manzo, Jr., who are parties/signatories to the above Agreement, are entitled to enforce the arbitration provision against Malzoni as to Plaintiff's claims in the Complaint. Further, Malzoni's cross-claims for rescission and restitution and declaratory relief as against Plaintiffs are also subject to arbitration pursuant to ¶ 22B above.

In the Opposition, Malzoni argues that pursuant to Code Civ. Proc. § 1281.2(c), the Court should deny arbitration because there is a significant possibility of conflicting rulings on a common issue of law or fact. Defendant Malzoni filed a Cross-Complaint against all parties, which includes several parties that are not subject to the arbitration provision between Plaintiffs and Defendant Malzoni. The Cross-Complaint concerns the exact same transaction and common issues of fact – who knew about the encroachments and who failed to disclose this information to Plaintiffs. Accordingly, the Court should exercise its discretion to deny Plaintiffs' petition for arbitration and instead order all parties to proceed with this court action.

California

law reflects a strong public policy in favor of arbitration as a relatively quick and inexpensive method for resolving disputes. (Citation omitted.) To further that policy, section 1281.2 requires a trial court to enforce a written arbitration agreement unless one of three limited exceptions applies. (Citation omitted.) Those statutory exceptions arise where (1) a party waives the right to arbitration; (2) grounds exist for revoking the arbitration agreement; and (3) pending litigation with a third party creates the possibility of conflicting rulings on common factual or legal issues. (§ 1281.2, subds. (a)–(c).)

The

third party litigation exception applies when (1) “[a] party to the arbitration agreement is also a party to a pending court action or special proceeding with a third party ...”; (2) the third party action “aris[es] out of the same transaction or series of related transactions”; and (3) “there is a [*968] possibility of conflicting rulings on a common issue of law or fact.” (§ 1281.2(c).) If all three of these conditions are satisfied, then section 1281.2(c) grants a trial court discretion to either deny or stay arbitration despite an agreement to arbitrate the dispute. (Laswell, *supra*, 189 Cal.App.4th at p. 1405.) Specifically, section 1281.2 identifies four options from which the court may choose: (1) “refuse to enforce the arbitration agreement and ... order intervention or joinder of all parties in a single action or special proceeding”; (2) “order intervention or joinder as to all or only certain issues”; (3) “order arbitration among the parties who have agreed to arbitration and stay the pending court action or special proceeding pending the outcome of the arbitration proceeding”; and (4) “stay arbitration pending the outcome of the court action or special proceeding.” (§ 1281.2.)

A

trial court has no discretion to deny or stay arbitration unless all three of section 1281.2(c)'s conditions are satisfied. (Citations omitted.)

(*Acquire II, Ltd. v. Colton Real Estate Group* (2013) 213 Cal.App.4th 959, 967-968.)

Here, the Court finds that

there is no possibility of conflicting rulings on a common issue of law or fact which justifies an exercise of the option to refuse to enforce the arbitration agreement under Code Civ. Proc. § 1281.2(c). Defendant Malzoni's liability to Plaintiffs may be determined in arbitration. If Malzoni is thereafter found liable to Plaintiffs, her indemnity claims will be ripe and the amount of liability concrete, such that

Malzoni can litigate her indemnity claim against Defendants Hilton & Hyland Real Estate, Inc. and Laura Kalb, whose application for determination of good faith settlement is being denied.

As such Plaintiffs' motion to compel arbitration as against Defendant Malzoni is GRANTED. This action is ordered stayed pending arbitration. (Code Civ. Proc. § 1281.4.)